Nimbus Retail Ltd
Annual Report FY2024

Sector: Retail. All figures in US dollars. Fiscal year ends 31 March 2024. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2024 was a year of disciplined execution for Nimbus Retail Ltd. Revenue for FY2024 was $2,830.8 million, up 7.4% from $2,636.0 million in FY2023. Net income for FY2024 was $243.3 million and earnings per share were $2.36. The Board has recommended a dividend of $0.94 per share.

Our strategy for the coming year focuses on expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2024 was $912.2 million, giving a gross margin of 32.2%. Operating expenses were $529.5 million and operating income was $382.7 million. EBITDA for FY2024 was $485.8 million.

Net income improved from $225.8 million in FY2023 to $243.3 million in FY2024, a change of 7.8%. Interest expense was $58.3 million, reflecting the level of long-term debt of $1,005.7 million.

Segment performance: Grocery contributed $584.9 million; Apparel contributed $1,145.3 million; Online Marketplace contributed $1,100.6 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $295.5 million. Net cash from operating activities was $426.8 million and capital expenditure was $142.6 million, resulting in free cash flow of $284.2 million. Total current assets were $727.7 million against total current liabilities of $423.5 million.

Total assets were $3,339.2 million, total liabilities were $1,534.5 million and shareholders' equity was $1,804.7 million.

Principal Risks and Uncertainties

• Rising logistics and fuel costs could compress gross margins.

• Intense price competition from discount and online-only retailers.

• Consumer demand is sensitive to inflation and household disposable income.

• Dependence on third-party suppliers for private-label products.

Outlook

For FY2025, management expects revenue growth of 6% to 11%, supported by expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2024	FY2023
Revenue	2,830.8	2,636.0
Cost of revenue	1,918.6	1,744.2
Gross profit	912.2	891.8
Operating expenses	529.5	519.6
Operating income (EBIT)	382.7	372.1
Depreciation & amortisation	103.1	132.6
EBITDA	485.8	504.7
Interest expense	58.3	71.0
Tax expense	81.1	75.3
Net income	243.3	225.8

Consolidated Balance Sheet

Line item ($ million)	FY2024	FY2023
Cash and cash equivalents	295.5	365.2
Total current assets	727.7	865.3
Total assets	3,339.2	3,321.0
Total current liabilities	423.5	495.4
Long-term debt	1,005.7	1,062.9
Total liabilities	1,534.5	1,662.3
Shareholders' equity	1,804.7	1,658.7

Consolidated Cash Flow Statement

Line item ($ million)	FY2024	FY2023
Net cash from operating activities	426.8	350.9
Capital expenditure	142.6	235.3
Free cash flow	284.2	115.6